Collateral Acceptance Policy – Capital Markets Lending Desk

1. Overview

This policy establishes the standards governing the evaluation, eligibility, and acceptance of collateral for secured financing within the Capital Markets Lending Desk. It ensures alignment with regulatory expectations, internal credit risk frameworks, and enterprise-wide collateral management standards. The policy aims to maintain high-quality collateral pools, protect the institution from counterparty default, and promote consistent decision-making.

2. Scope

This policy applies to all secured financing transactions originated, renewed, or amended by the Capital Markets Lending Desk. It covers all client types—including financial institutions, corporates, and asset managers—across the U.S. and Canada. Exclusions include retail lending, margin lending administered by the Prime Brokerage unit, and collateral processes governed by bilateral derivative agreements.

3. Policy Requirements

- All collateral must meet eligibility criteria defined by Credit Risk Management.

- Collateral must be independently valued using approved pricing sources.

- Haircuts must follow enterprise-approved schedules and be applied consistently.

- Legal enforceability must be validated through internal or external counsel prior to transaction onboarding.

- Concentration limits, wrong-way risk controls, and re-hypothecation restrictions must be adhered to.

- Documentation must include collateral schedules, valuation statements, and legal opinions.

4. Roles & Responsibilities

- **Capital Markets Lending Desk:** Ensures compliance with all requirements during transaction onboarding and ongoing monitoring.

- **Credit Risk Management:** Defines eligibility, reviews collateral profiles, and approves exceptions.

- **Market Risk:** Provides valuation oversight, stress testing guidance, and concentration monitoring.

- **Legal:** Confirms enforceability of collateral rights and reviews all non-standard arrangements.

- **Operations:** Performs daily margining, valuation updates, and reporting.

5. Operational Procedures

A high-level collateral workflow includes:

1. Eligibility screening aligned with internal criteria.

2. Legal enforceability confirmation.

3. Valuation and haircut application using enterprise models.

4. Daily margining, substitution monitoring, and dispute resolution.

5. Ongoing compliance review and reporting.

Detailed operational steps are maintained in SOP-LND-004 and Collateral Ops Playbook.

6. Exceptions & Escalations

Exceptions may be granted only for strategic clients subject to:

- Prior approval by Credit Risk and Legal.

- Documented justification, including risk assessment.

- Quarterly review and revalidation.

Escalations follow the desk’s three-tier hierarchy, culminating with the Head of Global Lending.

7. Compliance, Monitoring & Reporting

Compliance is monitored via:

- Monthly collateral quality reviews.

- Daily exception reports.

- Quarterly regulatory alignment checks.

- Annual policy attestation.

Breaches require immediate remediation and root-cause analysis.

8. Definitions & Interpretation

- **Eligible Collateral:** Assets meeting enterprise criteria.

- **Haircut:** A valuation discount applied to mitigate risk.

- **Wrong-Way Risk:** Exposure increasing when counterparty and collateral value are correlated.

9. Appendix

- Enterprise Collateral Standards

- Credit Risk Haircut Schedule
- Sample Collateral Agreement